MUTUAL FUNDS

THE LONG-TERM GAME

Equity as an asset class with stocks and mutual funds make for a good choice for potential increase in value of your investment over time



Source: BSE

A 2019 study by market regulator SEBI found that over 95 per cent of Indian households preferred to park their money in bank deposits. Money in savings accounts pay interest, but not a lot. The average savings account interest rate is 3 per cent and the current average inflation rate is over 6 per cent, so when you keep money idle in the bank, you actually end up paying money to the bank to keep it safe for you. The value of your savings doesn't even match inflation, meaning the money in the bank doesn't even retain its value as long as it sits in the bank.

You need to put your money to work to maintain your standard of living. To see growth in the value of your savings, you need to invest it and if you want real money growth that beats inflation in the long run, you need to put money into equities. Financial instruments that have exposure to equities as an asset class have the requisite capability to gain in value and grow. Take the example of Rs 100 invested in the S&P BSE Sensex index on January 1, 1980 when it was 118.16—42 years later, on January 1, 2022, the index value was 59,183.22, or worth Rs 50,078.9.

FLAVOURS OF EQUITY

Money in equities could be invested in stocks or equity mutual funds (MFs). There are benefits of putting money in both the options, but investing in equity MFs is easy and convenient compared to investing directly in stocks. For the same sum of money available, investing directly in stocks can buy you limited number of stocks of different companies compared to the exposure one may get using the same sum in an equity MF.

Equity MFs follow principles of asset allocation and diversification, under which investors can spread their monies across more stocks, reducing the investment risk. At the same time, such investments are liquid, which means one can redeem investments as and when needed and money will be credited to the linked bank account in about a week from the day they initiate the redemption process.

There are other advantages of taking exposure in equities through MFs—an equity MF is a professionally managed, pooled investment vehicle comprised primarily of stocks. There are a dozen different types of equity MFs and each one carries a different risk grade, which makes them suitable for different investor profiles and investment time frames.

THERE ARE A DOZEN DIFFERENT TYPES OF EQUITY MUTUAL FUNDS AND EACH ONE CARRIES A DIFFERENT RISK GRADE, WHICH MAKES THEM SUITABLE FOR DIFFERENT INVESTOR PROFILES AND INVESTMENT TIME FRAMES

The risk grade is captured in the riskometer carried with each fund, ranging from low to very high, and lets investors choose funds based on the risk they are willing to take or on the financial goal they are investing towards. A fundamental rule to follow when investing in equity MFs is to have an investment time frame of at least five years. The long-term view when investing in equity investments is to factor in the volatile nature of returns from equity investments. For instance, the Sensex had first crossed 59,000 in September 2021 and since then touched 61,000 on October 14, 2021. However, the volatile nature of equities means the index also dipped to 56,000 in December 2021. The point is that the value of equity investments could be volatile, but in the long run, they grow significantly.